TOPIC 1 · THE GLOBAL ECONOMY

ABC News
Thursday 12 November 2026

China's trade surplus tops US$1 trillion – again

China's trade surplus for the first ten months of 2026 has already passed US$1 trillion, a month earlier than last year, as Beijing relies on exports to reach its growth target.

WHAT HAPPENED

- The January–October surplus reached **US$1.04 trillion**. The 2025 full-year record of US$1.2 trillion looks set to be beaten.
- October **exports rose 35.2%** y/y to US$412.3bn; **imports rose 41.6%** to US$307.1bn.
- Exports to the **US rose 32.9%** in October, despite US tariffs.
- China's surplus with the **EU** widened to US$310.7bn, up from US$241.6bn a year earlier.
- Analysts say exports are carrying China towards its **4.5–5% growth target** while domestic inflation stays well below the ~2% goal.
- Xi and Trump are expected to meet at **APEC** in Shenzhen on 18–19 November.

US$1.04tn
Trade surplus, Jan–Oct 2026

+35.2%
Exports in October, year on year

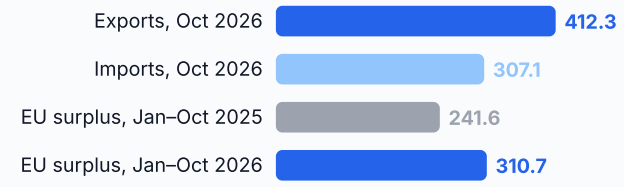
US$310.7bn
Surplus with the EU, Jan–Oct (was US$241.6bn)

4.5–5%
China's 2026 GDP growth target

Trade surplus: the value of exports is greater than the value of imports.
Export-led growth: a strategy that relies on selling to foreign markets, not domestic demand, to drive GDP.

BAR CHART

China's trade in October and its widening EU surplus (US$bn)



A surplus means China is producing more than it spends at home. With **weak household demand** and low inflation, Chinese firms push output into **world markets**.

That helps China's GDP, but its trading partners see their own import-competing industries squeezed, which raises **protectionist pressure** in the US and EU.

Exam angle: China's industrial output underpins demand for Australian **iron ore**. But a surplus built on exports, not domestic spending, also makes Chinese growth more exposed to tariffs, which is a risk for Australia's terms of trade.

FLOW CHART

From weak demand at home to trade tension abroad

Weak consumer demand in China → Firms sell more output overseas → Record trade surplus (US$1tn+) → **Partners consider tariffs**

SYLLABUS LINK

Topic 1 – Patterns of trade and financial flows; the growth of China and its effects on the global economy; protectionism.

TRY THIS

Explain how China's reliance on export-led growth could increase protectionism in the global economy.
(4 MARKS)

Sources — ABC News, 'China's trade surplus surpasses $US1 trillion for second straight year': abc.net.au/news/2026-11-11/china-trade-surpasses-1-trillion-for-second-straight-year/107372090

Figures as reported; diagrams are illustrative, not to scale.